

Act to Prohibit Investment in Foreign Countries, 1964

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 1

Act to Prohibit Investment Abroad, 2021

Royal Seal and Date of Publication

2021.5.13

Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.1.7

Act No. 11 of the year 2021

Act made to provide for prohibiting investment abroad

Preamble: Whereas it is desirable to make provision for prohibiting investment abroad in order to maintain the economic interest of the general public,

Now, therefore, the Government of Nepal has enacted this Act. 1. Short title, extent and commencement: (1) This Act may be called the "Act to Prohibit Investment Abroad, 2021".

(2) This Act shall apply to all Nepali citizens, wherever they may be residing or staying, within or outside Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066, and to incorporated bodies established within Nepal omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Investment" means investment made in the following matters:

- (1) Foreign securities,
- (2) Partnership in a foreign firm,
- (3) Foreign bank account,
- (4) Immovable property situated abroad,
- (5) Any other kind of cash or kind investment made abroad, except such as the Government of Nepal may, by notification published in the Nepal Gazette, specify.

(b) "Foreign security" means a security created or issued abroad, and a security the principal or interest of which is payable or may be payable in any foreign currency or abroad.

(c) "Security" means share, stock, bond, debenture, debenture stock, and government security, deposit receipt in respect of a deposit of security, and unit or sub-unit of a unit trust, and this term also includes a certificate of title to a security. 3. Prohibition on making investment abroad: (1) After the commencement of this Act, no person shall make any kind of investment abroad.

(2) Notwithstanding anything contained in sub-section (1), the Government of Nepal may, by notification published in the Nepal Gazette, in respect of any particular kind of investment, grant exemption from the prohibition set forth in that sub-section and specify the type, limit, period, and other necessary conditions relating to the investment so exempted. 4. Penalty: (1) If any person does any act in contravention of this Act or of any notice, order, or direction issued under this Act, the person shall be liable to a fine equal to the amount involved or imprisonment for up to six months, or both.